Total sales during the year were ₹ 85,000. Purchases returns during the year were ₹ 2,000 and sales returns were ₹ 1,000. Depreciate plant and machinery by 5%. Provide ₹ 300 for doubtful debts. Prepare trading and profit and loss account for the year ending 31st March, 2019 and a balance sheet as on the date.

Solution

In the books of Arjun

Statement of affairs as on 1st April, 2018

Liabilities	₹	Assets	₹
Creditors	5,000	Cash at bank	4,000
Opening capital	**30,000**	Stock	9,000
(balancing figure)		Sundry debtors	2,000
		Plant and machinery	20,000
	35,000		35,000

Dr. **Total creditors account** **Cr.**

Particulars	₹	Particulars	₹
To Cash A/c (paid)	64,000	By Balance b/d	5,000
To Purchases returns	2,000	By Purchases A/c (credit)	**65,000**
To Balance c/d	4,000	(balancing figure)	
	70,000		70,000

Dr. **Trading and Profit and Loss Account for the year ended 31st March, 2019** **Cr.**

Particulars		₹	Particulars		₹
To Opening stock		9,000	By Sales	85,000	
To Purchases			Less Returns	1,000	84,000
Credit	65,000		By Closing stock		16,000
Less Returns	2,000	63,000			
To Carriage inwards		8,000			
To Gross profit c/d		**20,000**			
		1,00,000			1,00,000
To Advertising		4,700	By Gross Profit b/d		20,000
To Depreciation on machinery		1,000			
To Provision for doubtful debts		300			
To Net profit transferred to capital a/c		**14,000**			
		20,000			20,000

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